

ASCII MASTER FLOW – PANEL 1/12: BoP accounting spine

RESIDENT <-> NON-RESIDENT TRANSACTIONS

CURRENT + CAPITAL + FINANCIAL ACCOUNTS

DOUBLE ENTRY + ERRORS / OMISSIONS

RESERVE-ASSET CHANGE closes recorded financing

MUST REMEMBER: The balance of payments records resident-non-resident transactions across...

ASCII MASTER FLOW – PANEL 2/12: Current-account map

GOODS

SERVICES

PRIMARY INCOME

SECONDARY INCOME -> personal remittances

ASCII MASTER FLOW – PANEL 3/12: Capital-financial fork

CAPITAL -> capital transfers

CAPITAL -> non-produced non-financial assets

FINANCIAL -> FDI + portfolio + loans

FINANCIAL -> derivatives + reserve assets

ASCII MASTER FLOW – PANEL 4/12: CAD financing identity

CURRENT-ACCOUNT DEFICIT

-> NET FINANCIAL INFLOWS

OR -> RESERVE USE

PLUS -> ERRORS / OMISSIONS; quality matters

ASCII MASTER FLOW – PANEL 5/12: Trade-deficit offsets

MERCHANDISE DEFICIT

+ NET SERVICES

+ PRIMARY INCOME

+ SECONDARY INCOME -> CURRENT ACCOUNT

ASCII MASTER FLOW – PANEL 6/12: Currency quote board

QUOTE -> RUPEES PER US DOLLAR

NUMBER RISES -> dollar costs more

RUPEE -> DEPRECIATES

ALWAYS state quote before direction

ASCII MASTER FLOW – PANEL 7/12: Rate-change vocabulary

MARKET -> depreciation / appreciation

OFFICIAL PARITY -> devaluation / revaluation

NOMINAL -> observed currency price

REAL -> relative-price adjusted

ASCII MASTER FLOW – PANEL 8/12: Managed-float rail

MARKET DEMAND + SUPPLY

-> RUPEE RATE MOVES

RBI -> may smooth excessive volatility

NO DECLARED FIXED TARGET LEVEL

ASCII MASTER FLOW – PANEL 9/12: Intervention-liquidity matrix

RBI SELLS DOLLARS -> rupees absorbed

RBI BUYS DOLLARS -> rupees injected

STERILISATION -> offsets liquidity effect

LIMIT -> costs + underlying pressure

ASCII MASTER FLOW – PANEL 10/12: NEER-REER ladder

BILATERAL RATE

-> TRADE-WEIGHTED NEER

-> RELATIVE-PRICE ADJUSTED REER

INTERPRET -> use RBI convention + base + weights

CLOSE DISTINCTION: Current-account deficit is not trade deficit, BOP accounting balance...

ASCII MASTER FLOW – PANEL 11/12: Reserve-adequacy dashboard

IMPORT COVER

SHORT-TERM DEBT

BROAD MONEY / FINANCING NEED

MATURITY + CURRENCY + HEDGING + STRESS

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State period, currency/unit, stock or flow...

ASCII MASTER FLOW – PANEL 12/12: External-sector answer spine

CLASSIFY transaction by account

STATE sign / quote / stock-flow convention

TRACE financing + intervention + liquidity

JUDGE resilience through composition, not headline